

Solasto Corporation — 6197.XTKS

Management buyout (MBK Partners PE sponsor) · deep-dive · 2026-04-15

Ticker	6197.XTKS
Issuer FIGI	BBG00BGK7648
Market cap	USD 637m
Signal date	2026-04-09
Signal type	mbo_announcement
Direction	LONG (merger-arb)
Score	35 / 42.5
Deep-dive date	2026-04-15

Thesis (TL;DR)

Solasto (medical / nursing / childcare outsourcing services) announced an MBO at JPY 1,119/share with MBK Partners as PE sponsor. Press references cite the offer price as $\approx 2x$ the undisturbed price and above the midpoint of the IFA DCF range — a **standard, well-priced Japanese PE take-private**. Tender period specifics not fully surfaced in 6-month English press but the transaction structure is consistent with 95%+ completion priors. Recommendation: merger-arb LONG, standard Japanese PE-take-private playbook.

Company context

Solasto: outsourced medical-administration / nursing-care / childcare-services provider.

Market cap: USD 637m.

Secular thesis: Japan's aging-demographic tailwinds drive structural growth in medical-administration and nursing-care outsourcing.

PE sponsor: MBK Partners — the largest North-Asia-focused PE firm (Korea/Japan/China exposure); track-record of operational take-privates.

What the release actually contains

Offer price: JPY 1,119/share.

Structural form: MBO with management rollover + MBK Partners capital.

Premium: press cites $\approx 2x$ undisturbed price (i.e. $\sim 100\%$); above IFA DCF midpoint — suggests competitive / well-contested process.

Tender period: [unverified] in English press; typical Japanese MBO is 30–45 business days.

Delist path: take-private via tender + squeeze-out cash-out; full delisting typical.

Thesis statement

Merger-arb LONG. Well-priced PE-sponsored MBO with management rollover is the cleanest category in Japanese merger-arb. MBK Partners has a strong execution record; financing risk is low. Minor residual risks: (a) tender-close mechanical spread, (b) minor interloper risk (always non-zero), (c) a *lower* cash-out squeeze-out is essentially disallowed in Japan. Size at full Japanese-arb convention.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
Tender offer close	[unverified] (30–45 bizdays from 2026-04-09)	Acceptance > minimum threshold	Spread closes
Settlement / payment	[unverified] (likely May–Jun 2026)	Monies paid; shares delisted (if 100%)	Exit complete
Antitrust / JFTC clearance	rolling	Approval announced	Risk premium compresses
Bidder financing confirmation	pre-close	Senior debt locked / cash available	Deal-break risk falls

Event	Date / Window	Entry trigger	Exit / resolution
Competing bid	0–30d	Interloper emerges	Spread widens / trade-out

Steelman of the opposite view

- Solasto's secular-growth profile supports a higher standalone DCF than the MBO price; aggrieved-shareholder litigation is a known tail risk for Japanese PE MBOs.
- MBK-sponsored deals have been completed smoothly in 2024–2025; reference class is clean.
- Borrow cost on a Japanese small-mid cap MBO target can widen during the tender window — watch for squeeze dynamics.
- The 2x undisturbed premium means the stock likely already gapped up; incremental arb return is low single-digit bps.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: competing superior offer	Interloper bid > 5% above current offer	TDnet disclosure
K2: regulatory block	JFTC or foreign-antitrust objection	JFTC public register
K3: financing pulled	Bidder announces inability to fund	Bidder IR release
K4: minimum threshold missed	Acceptances below stated floor	Tender-offer result filing
K5: non-compliance / revised terms	Offer revised down or extended repeatedly	TDnet extension notice

Peer comparables

- Benefit One / Dai-ichi Life (2024) — health-care services consolidation in Japan; bidding-war precedent.
- Nichiigakkan / Bain Capital (2021) — Japanese medical-services PE take-private; similar vertical.
- Tsubakimoto Group / MBK Partners ([unverified]) — MBK execution track-record reference.

Position sizing guidance

Standard Japanese merger-arb sizing: 1.0–1.5% NAV, 60-90 day hold, JPY-hedged. Exit on settlement or on any confirmed interloper. No leverage.

Sources & traceability

- Primary: TDnet PDF <https://www.release.tdnet.info/inbs/140120260409500870.pdf>.
- MBK Partners historical deal precedent (general context).
- Non_us stub: 6197_XTKS_solasto-mbo-tender-offer.md.